

Power Finance Corporation Ltd

PFC · Financials / Speciality Finance

ROE

26.16%

ROCE

3.49%

Net Profit Margin

28.92%

D/E

8.52

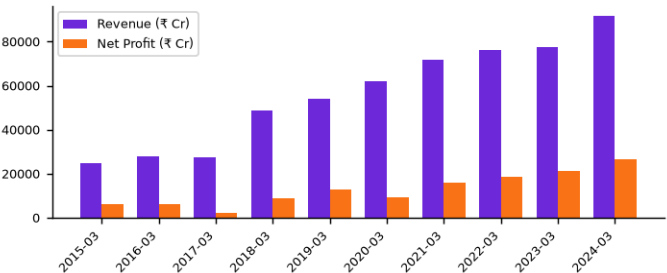
Revenue CAGR 5yr

11.08%

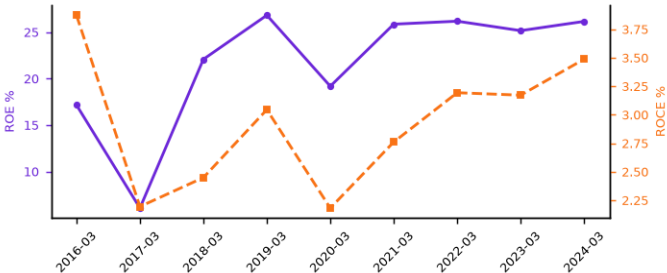
FCF (Rs. Cr)

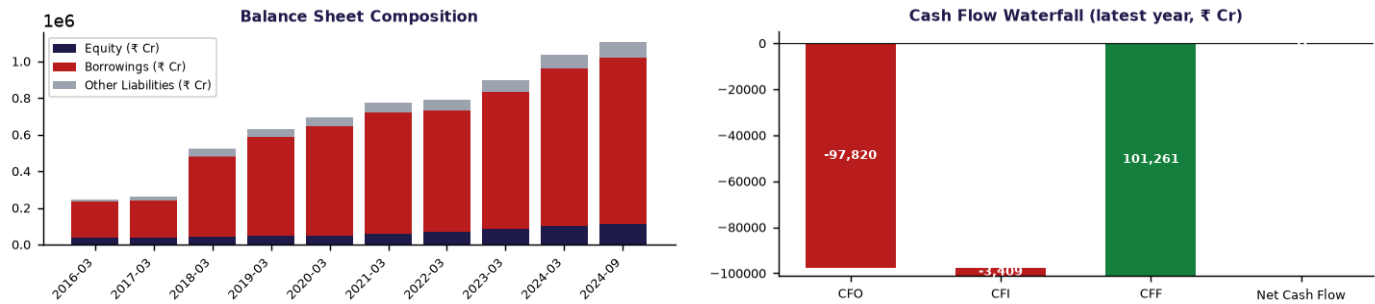
-101,229

Revenue vs. Net Profit



ROE vs. ROCE





Pros

- ✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing (95% confidence)
- ✓ Operating profit margin above 25% indicates strong pricing power and cost discipline (83% confidence)
- ✓ Revenue growing slower than profits shows improving operating leverage and scale benefits (79% confidence)
- ✓ Consistently high return on equity above 20% demonstrates exceptional capital efficiency (76% confidence)

Cons

- ✗ Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital (93% confidence)

Capital Allocation Pattern: **Growth Funded by Debt**